01

QUESTION ONE · ORGANISATION

What is organization & explain its type.

4 A4 PAGES
TYPES EXPLAINED ON PAGES 2-3

WHAT IS AN ORGANIZATION?

An **organization** is a process in which people, work, resources and the ways of working are arranged so that together they can achieve a common objective. In simple words, an organization is a structure in which people sit at different positions, their duties are clearly defined, and everyone works towards a larger aim according to his or her own role. Every organization has a clear **hierarchy** — who will work under whom and who will be above whom is decided well in advance.

An organization can be understood by comparing it with a building. Just as the pillars, walls and roof of a building together make a strong structure, the people, the work and the rules of an organization together create a productive working system. An organization is not merely a crowd of people gathered in one place; it is a system in which everything is arranged systematically so that effort is not wasted and results are achieved on time.

The importance of an organization lies in the fact that it makes work possible at a scale no single person could manage. It divides the work, fixes responsibility, avoids confusion, and makes sure that the effort of many people moves in the same direction. Whether it is a college, a bank, a hospital or a government office, all of them depend on good organization.

Features of an Organization

- **Common Goal:** every organization has a common objective towards which all its members work.
- **Division of Labour:** work is divided among people so that each can use his or her special skill.
- **Coordination:** the work of different people is kept coordinated so that it does not clash.
- **Hierarchy:** there is a clear chain of command, with well-defined levels of authority.
- **Rules and Regulations:** every organization has rules and procedures that all members follow.

FOUR ELEMENTS, ONE COMMON GOAL

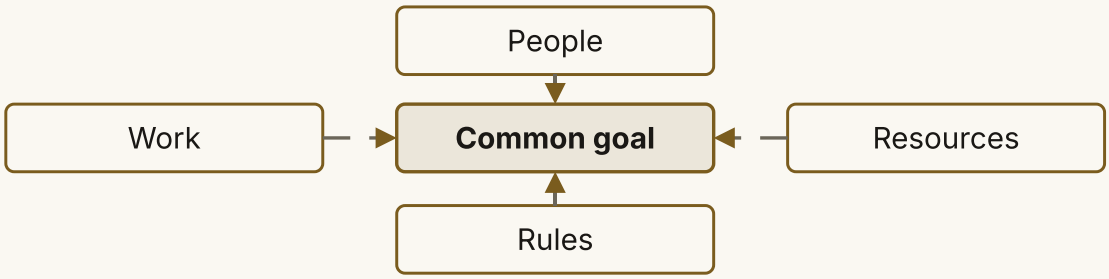


FIG. 1 — HOW THE FOUR ELEMENTS OF AN ORGANIZATION MEET. PEOPLE, WORK, RESOURCES AND RULES ARE NOT SEPARATE DEPARTMENTS; EACH ONE FEEDS INTO THE SAME COMMON GOAL, AND THE STRUCTURE EXISTS ONLY TO KEEP THEM MOVING TOGETHER.

TYPES OF ORGANIZATION

Organizations are divided into different types according to the way authority flows and work is arranged. Each type has its own advantages and disadvantages, and each is best suited to a particular situation. The main types are explained below.

1. Line Organization

The **Line Organization** is the oldest and simplest form. One person stands at the very top and the others are arranged below him in a single straight line — rather like an army. Every manager directly controls the people working under him, and every employee takes orders from only one boss. Authority flows directly from the top to the bottom, so there is no confusion about who obeys whom.

Advantages: responsibility is clear, decisions are taken quickly and coordination is easy. **Disadvantages:** a single manager carries too heavy a workload, and specialist advice is not available when needed. This type is used in small organizations and in bodies such as the army and the police.

2. Functional Organization

In the **Functional Organization**, the work is divided into different **departments** — such as production, sales, finance and human resources. Each department has its own specialist head, who takes all the decisions of that department. The head of sales, for example, takes only sales-related decisions, and the head of finance takes only finance-related decisions.

Advantages: every department gains **specialisation**, the quality of work improves and each manager is an expert in his own field. **Disadvantages:** coordination becomes difficult because each department works on its own, and departments may sometimes come into conflict. This type is used in large organizations.

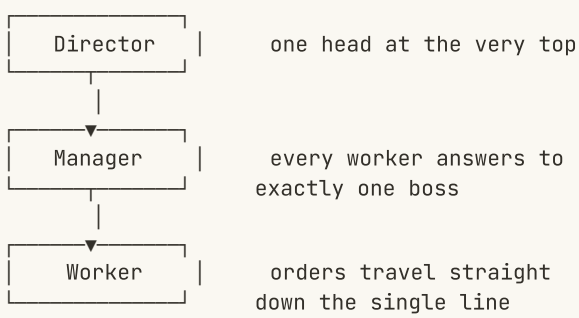


FIG. 2 — THE LINE ORGANIZATION IN TEXT FORM. THERE IS EXACTLY ONE LINE OF AUTHORITY FROM THE DIRECTOR TO THE WORKER, SO NOBODY HAS TO ASK WHICH ORDER TO OBEY FIRST.

The difference between the line and the functional types becomes clear through a simple example. In a small shop there is one owner who buys the goods, keeps the accounts, sells at the counter and pays the staff — the whole authority is a single straight line, which is a line organization. Now imagine the same shop growing into a big showroom. The owner can no longer look after everything himself, so he appoints one man for sales, one for accounts and one for purchases, and each of them becomes an expert in his own department — this is a functional organization. The work is better done, because experts are now in charge, but the owner must also work harder at keeping the three departments in step with one another, and this extra effort of coordination is the price that growth always demands.

3. Line and Staff Organization

The **Line and Staff Organization** is a structure in which, along with line authority, there are also **staff** members. Line officers are the people who do the actual work and take the decisions, while staff officers are specialists who only **advise** and do not take decisions themselves. In a company, for instance, the production manager is a line officer who looks after production, and attached to him is an HR expert (a staff officer) who only advises on manpower and training.

Advantages: two benefits are obtained together — the clear responsibility of a line organization and the specialisation of a functional organization — and decisions become better because specialists provide advice. **Disadvantages:** there can be friction between the line and the staff, and the responsibility of the staff is not always easy to fix. This type is used in medium and large organizations.

4. Matrix Organization

The **Matrix Organization** is a modern structure in which one employee reports to **two bosses** — a functional manager and a project manager. The employee stays attached to a department, but also works on projects that run across departments. A software engineer, for example, may report both to his technical manager and to a project manager at the same time.

Advantages: resources are used in the best possible way, flexibility increases and projects are completed quickly. **Disadvantages:** confusion can arise because an employee receives orders from two places, and the two managers may themselves come into conflict. This type is used in project-based organizations such as software and construction companies.

Beyond these four, there are two more types worth remembering. The **Committee Organization** places a group of people at the top in place of a single head; all the members discuss a matter and reach a joint decision, which is useful for important policy questions but slow when a quick decision is needed. The **Project Organization** gathers a temporary team to finish one particular task and disbands it once the task is over, which is common in construction and research work. A manager therefore has a whole range of structures to choose from, and the choice depends on the size of the organization, the type of work and the skill of the people available.

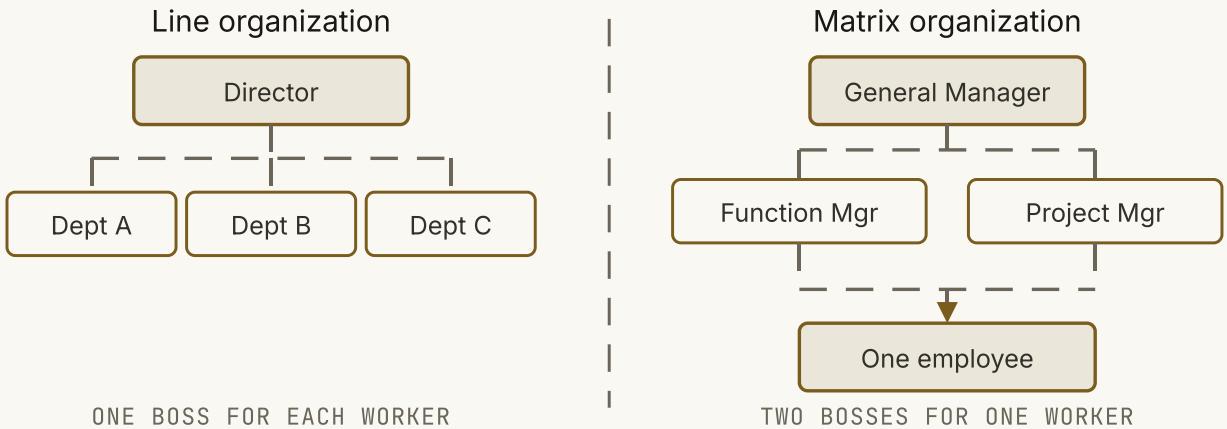


FIG. 3 — THE LINE STRUCTURE GIVES EVERY WORKER A SINGLE CLEAR BOSS; THE MATRIX STRUCTURE MAKES ONE EMPLOYEE ANSWER TO TWO MANAGERS AT ONCE.

TYPES OF ORGANIZATION — COMPARISON

TYPE	STRUCTURE	ADVANTAGE	DISADVANTAGE	WHERE USED
Line	Straight chain of command	Clear responsibility, quick decisions	No specialist advice	Small org., army, police
Functional	Divided into departments	Specialisation, better quality	Coordination is difficult	Large organizations
Line & Staff	Line authority + expert staff	Clarity plus expertise	Line–staff friction	Medium and large org.
Matrix	Two bosses (function + project)	Flexibility, fast projects	Confusion, double orders	Software, construction

Looking at the table, it becomes clear that no single type is perfect for every situation. A small shop is best served by a line organization because decisions there must be quick and the owner can see everything. A large factory needs a functional organization so that each department can develop real expertise. A company that must combine day-to-day work with special projects finds the line-and-staff or matrix structure more useful. The right choice depends on the size of the organization, the nature of its work and the skill of its people.

A manager who understands these types also understands that the structure may be changed as the organization grows. The same firm may begin as a small line organization, grow into a functional one as departments appear, and finally adopt a matrix as it takes on large projects that cut across those departments. The structure is therefore not a decoration but a tool, and its purpose is always the same — to make sure that authority is clear, that work is divided sensibly and that the effort of every member moves towards one common goal.

CONCLUSION

An organization is a process that arranges people, work and resources to achieve a common objective, and its main features are a common goal, division of labour, coordination, hierarchy and rules. Its chief types are Line, Functional, Line & Staff and Matrix, and each is best for a particular situation. Choosing the right type is therefore one of the most important decisions in management.

02 QUESTION TWO · TAYLOR'S THEORY

Explain the F.W. Taylor motivational theory of management.

4 A4 PAGES
NUMERICAL EXAMPLE ON PAGE 4

F.W. TAYLOR AND HIS MOTIVATIONAL THEORY

Frederick Winslow Taylor (F.W. Taylor) is known as the **"Father of Scientific Management"**. He was born in America in 1856 and spent his life trying to raise the productivity of factory workers. Taylor believed that a worker must be given the right motivation to work, and for this he developed a complete theory known as **Scientific Management**.

Taylor's basic idea was that the old way of working produced a great deal of waste — waste of time, waste of effort and waste of money. He argued that every job should be studied in a **scientific manner** so that the single best (most efficient) method for it could be discovered, and that the workers who used that best method should then be given **more money as an incentive**. This link between scientific study and reward is the heart of his motivational theory. In his view, the interests of the management and the workers are not opposed — both want higher production, because higher production means higher profit for the company and higher wages for the worker.

Principles of Scientific Management

1. **Science, not Rule of Thumb:** every job should be studied scientifically instead of being continued in the old, guessed way.
2. **Harmony, not Discord:** management and workers should work together and not fight with each other, for both share the same goal.
3. **Cooperation, not Individualism:** everyone should work together rather than each person working separately; teamwork was very important to Taylor.
4. **Maximum Output, not Restricted Output:** workers should be encouraged to produce as much as possible, and paid as much as possible in return.
5. **Development of each worker to his greatest efficiency:** every worker should be trained so well that he can work to the full extent of his ability.

1	Science, not rule of thumb
2	Harmony, not discord
3	Cooperation, not individualism
4	Maximum output, not restricted output
5	Development of every worker to full efficiency

FIG. 1 — TAYLOR'S FIVE PRINCIPLES AS A CHECKLIST. THE FIRST FOUR TELL THE MANAGEMENT HOW TO BEHAVE; THE FIFTH REMINDS IT THAT THE WORKER HIMSELF MUST BE TRAINED, BECAUSE A REWARD SCHEME CANNOT PAY A WORKER WHO HAS NEVER BEEN TAUGHT THE BEST METHOD.

TAYLOR'S MOTIVATIONAL METHOD — DIFFERENTIAL PIECE-RATE SYSTEM

The most important part of Taylor's motivational theory is the **Differential Piece-rate System**, which is a wage incentive scheme. Under this system a worker is paid according to the **number of pieces (units) he produces** — and even more than that. If he reaches the standard set for the job he is paid a **higher rate per piece**, and if he falls below the standard he is paid a **lower rate per piece**. The result is that the efficient worker earns a good deal more than the inefficient one, and this large difference (the "differential") pushes every worker to produce more.

Standard Time and Time Study

To fix a fair standard, Taylor used the **time and motion study**. In a time study the time taken by a worker to complete one unit is measured and studied, and from this a **standard time** is established — the time in which one unit ought to be produced. A worker who finishes a unit within the standard time is treated as efficient and is given the high rate; a worker who takes longer is inefficient and is given the low rate. Because the standard comes from actual measurement rather than guesswork, Taylor claimed it was fair to both the company and the worker.

Main Advantages of the Theory

- **Immediate motivation:** more work brings more money, so the worker is motivated by self-interest.
- **Lower cost per unit:** as output rises, the labour cost per unit falls, which benefits the company.
- **Check on inefficiency:** workers who produce less earn less, so they must either improve or leave.
- **Scientific standards:** the standards are set by measurement, so disputes about fairness are reduced.
- **Higher production and profit:** both the company and the efficient worker gain from the rise in output.

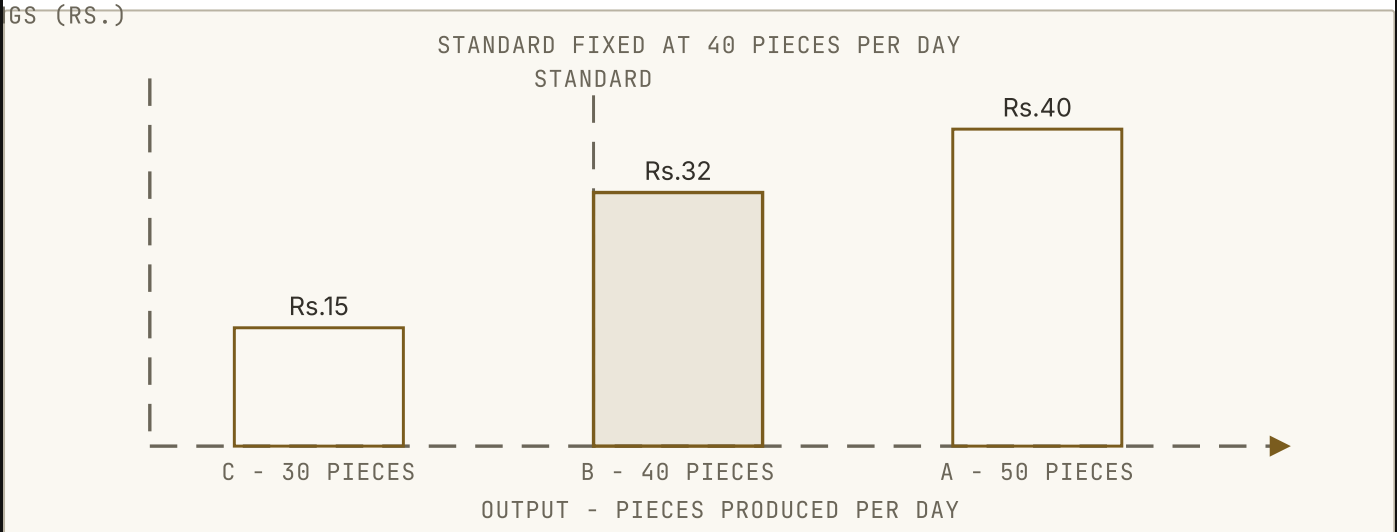


FIG. 2 — WORKER C STAYS BELOW THE STANDARD AND EARNS THE LOW RATE; WORKERS B AND A REACH AND CROSS IT AND EARN MUCH MORE. THE WIDE GAP IS THE "DIFFERENTIAL" THAT MOTIVATES THE WORKERS.

Limitations of Taylor's Theory

- **Hard on new workers:** a new or slow worker earns very little, and this can be discouraging.
- **Quality may suffer:** in the hurry to produce more pieces, workers may not give enough attention to quality.
- **Unpopular with trade unions:** unions consider the system to be exploitation of labour and oppose it.
- **Standards are difficult to fix:** an accurate time study of every job is expensive and takes a long time.
- **No guaranteed minimum wage:** a worker whose output is very low is given no assured minimum income.
- **Suitable mainly for repetitive work:** the system fits factory jobs that produce countable pieces, not creative or office work.

Impact of Taylor's Theory

Taylor's theory changed the world of management. He showed that by studying work scientifically and by giving the worker the right incentive, productivity can be increased many times over. Even today, many companies follow his principles without calling them by his name. The performance bonus, the sales target, the piece-rate wage and the production incentive are all the modern forms of Taylor's differential piece-rate system. His insistence on measurement and on training the worker also laid the foundation of modern work-study and industrial engineering.

Taylor and Fayol — a Short Comparison

Taylor is remembered together with Henri Fayol, and the two are often compared. Taylor looked at the work from the **bottom upwards** — he began with the shop floor, the machine and the worker, and asked how the work itself could be improved. Fayol looked at management from the **top downwards** — he asked how a manager should plan, organise, command, coordinate and control the whole organization. Taylor's theory is therefore called **Scientific Management** and Fayol's is called **Administrative Management**. The two are not rivals but companions: Taylor made the worker efficient, and Fayol made the organization efficient. A company that uses both enjoys good work on the shop floor and good direction from the top, which is why the two theories are studied together in every course on management.

Numerical Example — Differential Piece-rate System

Suppose that in a factory the **standard output of one job is 40 pieces per day** (found by a time study). Taylor fixes two rates — a worker producing **40 pieces or more** receives **Rs. 0.80 per piece**, while a worker producing **fewer than 40 pieces** receives only **Rs. 0.50 per piece**. Now consider the output of three workers:

WORKER	PIECES PRODUCED	RATE	TOTAL WAGE	RESULT
Worker A	50 pieces	Rs. 0.80	50 × 0.80 = **Rs. 40.00**	Efficient (above standard)
Worker B	40 pieces	Rs. 0.80	40 × 0.80 = **Rs. 32.00**	Efficient (at standard)
Worker C	30 pieces	Rs. 0.50	30 × 0.50 = **Rs. 15.00**	Inefficient (below standard)

In this example, Worker A produced only 25% more pieces than Worker B (50 against 40), but earned 25% more money (Rs. 40 against Rs. 32). Worker C produced 60% as many pieces as Worker A (30 against 50), yet earned only 37.5% as much (Rs. 15 against Rs. 40). This large gap between the efficient and the inefficient worker is the whole point of the differential piece-rate — it makes hard work visibly profitable and forces every worker to reach the standard.

In actual practice, however, a company cannot apply this method blindly. A worker who is new, ill or working on a machine that has broken down may fail to reach the standard through no fault of his own, and paying him the low rate would then be unfair and would drive him away. For this reason modern companies usually keep a **guaranteed minimum wage** alongside the incentive, and set the standard only after a careful study of the actual conditions of the job. Taylor's own advice was the same — the standard must come from measurement, never from a guess — and it is this insistence on measurement, more than the rate itself, that has lasted the longest.

CONCLUSION

F.W. Taylor's motivational theory is based on Scientific Management, in which the worker is motivated by a **differential piece-rate** set on standards found by scientific study. The efficient worker receives a higher rate and the inefficient worker a lower rate, so productivity rises and waste falls. The theory has some limitations, especially for new workers and for quality, yet its principles can be seen today in almost every performance-based incentive scheme.

03 QUESTION THREE · LEADERSHIP

What is leadership style & its function.

4 A4 PAGES
STYLES + FUNCTIONS ON PAGES 2-4

WHAT IS LEADERSHIP?

Leadership is the process in which a person (the leader) influences other people, guides them and leads them towards a common objective. A leader is someone who creates confidence in people, shows them the right path and keeps them motivated. Leadership does not merely mean giving orders; it means inspiring people so that they give their best. A leader's influence comes not only from his office but also, and more importantly, from his personal qualities.

There is a basic difference between leadership and management. A **manager** makes plans, organises the work and controls it, and holds formal authority given by his position. A **leader**, on the other hand, provides a vision and inspiration, and his influence springs from his own character. In practice, a good manager should also be a good leader, and a good leader should also be able to manage, because only then does the organization run smoothly. Authority can make a person obeyed, but only leadership can make people want to work.

Important Elements of Leadership

- **Influence:** a leader must be able to make people act — they should be willing to follow him.
- **Vision:** a leader should have a clear picture of where the organization ought to go.
- **Communication:** a leader must be able to explain his idea to his team clearly.
- **Decision Making:** a leader must be able to choose correctly in a difficult situation.
- **Integrity:** a leader's character must be honest and trustworthy, for trust is the base of all leadership.

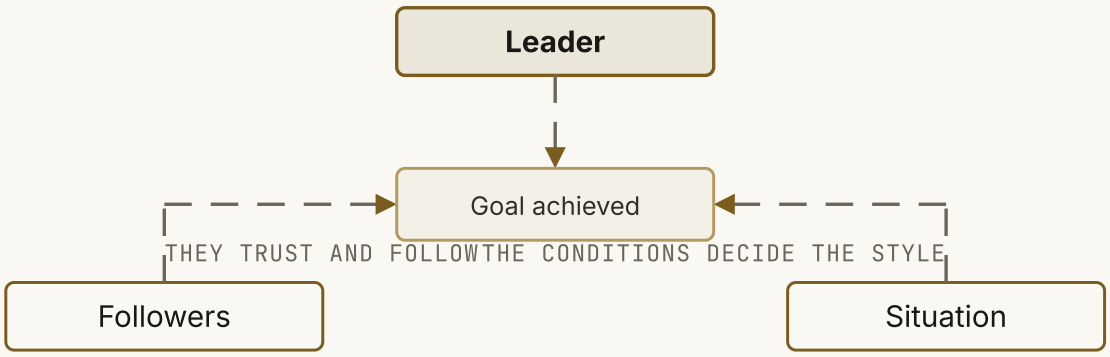


FIG. 1 — LEADERSHIP AS A RELATIONSHIP, NOT A TITLE. A LEADER IS ONLY A LEADER WHEN THERE ARE FOLLOWERS WHO TRUST HIM, AND THE SITUATION DECIDES WHICH STYLE WILL WORK; THE GOAL IS REACHED ONLY WHEN ALL THREE COME TOGETHER.

LEADERSHIP STYLES

A **leadership style** is the manner in which a leader talks to his people, guides them and takes decisions. Every leader has a style of his own, and that style decides how the members of the team feel and how well they work. Different styles suit different situations, and a wise leader often changes his style according to the need.

1. Autocratic (Authoritarian) Style

In this style the leader **takes all the decisions himself** and the members of the team are simply given orders; their opinion is not asked for. Communication flows in one direction only, from the top downwards. Decisions are made quickly and discipline is strong, but the morale of the team is low and there is little room for new ideas. This style suits emergency situations and unskilled or new workers who need clear instructions.

2. Democratic (Participative) Style

In this style the leader **takes the opinion of the team** before deciding and listens to their suggestions, although the final choice remains his own. Communication flows both ways — downwards and upwards. In this style the morale of the team is high, motivation increases and people feel valued, so creativity and teamwork improve. Its only drawback is that decision-making can be slower because many people have to be consulted.

3. Laissez-faire (Free-rein) Style

In this style the leader gives the team **complete freedom** to take its own decisions and supervises as little as possible. The leader supplies only the resources and the information and does not interfere. This style works best with highly skilled, self-motivated teams where people do good work on their own; it is not suitable for inexperienced teams, in which confusion and a lack of coordination soon appear.

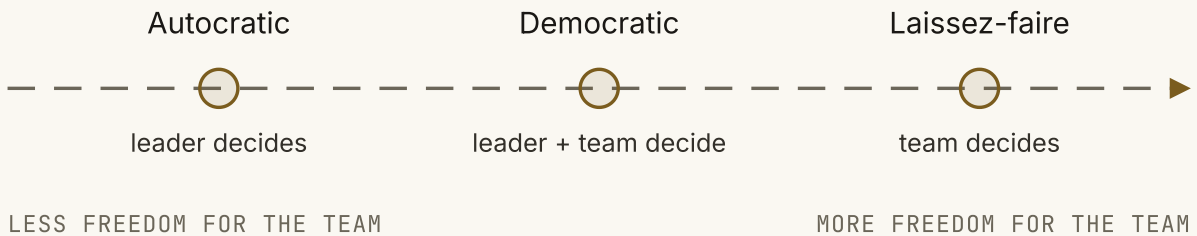


FIG. 2 — THE THREE BASIC LEADERSHIP STYLES LIE ON A SINGLE LINE. THE MORE THE LEADER SHARES THE DECISION, THE FURTHER RIGHT THE STYLE MOVES.

4. Transactional Style

In this style the leader manages through a system of **rewards and punishments**. The targets are clearly defined, an incentive is given for reaching them and corrective action follows when they are missed. Short-term performance stays steady and roles are clear, but there is little room for innovation or for effort beyond the agreed target, because the relationship is strictly a “work for reward” exchange.

5. Transformational Style

In this style the leader inspires and energises the team through his **vision**, sets an example himself and challenges the members to go beyond their own expectations. This style produces innovation, deep engagement and long-term growth, and it also develops future leaders — but it depends heavily on the personal qualities and the vision of the leader himself.

COMPARISON OF THE LEADERSHIP STYLES

STYLE	WHO DECIDES	COMMUNICATION	BEST WHEN
Autocratic	Only the leader	Downwards only	Emergency, unskilled team
Democratic	Leader, with the team's opinion	Both ways	Complex decisions, creative team
Laissez-faire	The team itself	Within the team	Highly skilled, self-motivated team
Transactional	Leader (target-based)	Downwards	Routine work, clear targets
Transformational	Leader (vision-based)	Inspiring, both ways	Long-term growth and change

The table shows that each style is useful in its own place. A manager facing a fire must be autocratic; a manager planning a new product is better democratic; and a manager leading a team of experts can safely step back and allow a free rein.

FUNCTIONS OF LEADERSHIP

Leadership has to perform several functions, and it is with the help of these that the organization runs smoothly and the people stay motivated. The main functions are described below.

1. **Giving Direction:** a leader shows the team the right path and tells them what has to be done, thus setting the direction in which the organization will move.
2. **Motivation:** a leader keeps the team members motivated through incentives, praise and encouragement, so that they work to the full extent of their ability.
3. **Communication:** a leader passes information both downwards and upwards, making sure that the right information reaches the right people at the right time.
4. **Decision Making:** a leader takes the right decision in a difficult situation and also guides the team in its own decisions.
5. **Coordination:** a leader coordinates the work of different members so that they do not clash and all efforts move towards one objective.
6. **Inspiration:** a leader creates confidence in people and inspires them to cross their limits and do better work than they thought they could.
7. **Resolving Conflict:** a leader settles the disputes that arise among team members and keeps harmony in the group.
8. **Representation:** a leader represents the team before outsiders — shareholders, customers, the government or the public.

CONCLUSION

A leadership style is the manner in which a leader influences and guides his people, and its main styles are Autocratic, Democratic, Laissez-faire, Transactional and Transformational. The functions of leadership are giving direction, motivating, communicating, taking decisions, coordinating, inspiring, resolving conflict and representing the team. With the right style and the right functions, a leader takes the organization steadily towards success.